basis of reporting its income to the New York Stock Exchange, so that its profit for 1926 was restated to read $461,296, instead of $1,071,000.

The 1932 report of International Telephone and Telegraph Company showed various charges *against surplus* aggregating $35,817,000, which included the following: "Write-off of certain deferred charges that have today no tangible value although originally set up to be amortized over a period of years in accordance with accepted accounting principles, $4,655,696."

Hudson Motor Car Company charged against surplus instead of income the following items (among others) during 1930–1931.

1930	Special adjustment of tools and materials due to development of new models	$2,266,000
1931	Reserve for special tools	2,000,000
	Rearrangement of plant equipment	633,000
	Special advertising	1,400,000

In 1933 Hecker Products (then called Gold Dust Corporation) appropriated out of surplus the sum of $2,000,000 as a reserve for the "net cost of introduction and exploitation of new products." About three-quarters of this amount was expended in years 1933–1936, and the balance then transferred to "General and Contingency Reserves."

The effect of these accounting practices is to relieve the reported earnings of expenditures that most companies charge currently thereagainst, and that in any event should be charged against earnings in installments over a short period of years.

Amortization of Bond Discount. Bonds are usually floated by corporations at a price to net the treasury less than par. The discount suffered is part of the cost of borrowing the money, *i.e.*, part of the interest burden, and it should be amortized over the life of the bond issue by an annual charge against earnings, included with the statement of interest paid. It was formerly considered "conservative" to write off such bond discounts by a single charge against surplus, in order not to show so intangible an item among the assets on the balance sheet. More recently these write-offs against surplus have become popular for the opposite reason, *viz.*, to eliminate future annual deductions from earnings and in that way to make the shares more "valuable."